



Financial Setup: **Chart of Accounts Management**

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Manage Chart of Accounts topic.

Objectives



At the end of this topic, you will be able to:

- Set up a Chart of Accounts adapted to the company type
- Manage the Chart of Accounts:
 - Add a new title
 - Add a new G/L account to an existing title.
 - Update different properties of existing accounts.
 - Change the structure of the chart of accounts and move titles and accounts.
 - Delete an account.

In this session, we will explore how to set up a chart of accounts adapted to the company type.

We will also look at how you manage the chart of accounts.

Business Scenario



You are implementing SAP Business One at a new customer, OEC Computers.

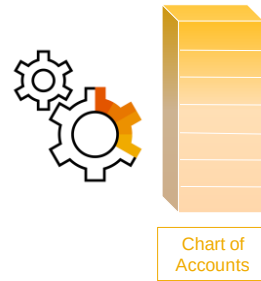
- Maria, the accountant, tells you that moving to SAP Business One is a good opportunity for her to organize the company accounts structure.
- You show Maria the pre-defined Chart of Account templates in SAP Business One. You tell her that she can use this template as the basis for her Chart of Accounts and adjust it before go-live.
- Maria has chosen a Chart of Account template and now, you show her how to adjust the accounts: add, remove and update.

Imagine that you are implementing SAP Business One at a new customer.

- Maria the accountant, tells you that moving to SAP Business One is a good opportunity for her to organize the company accounts structure.
- You show Maria the pre-defined Chart of Account templates in SAP Business One. You tell her that she can use this template as the basis for her Chart of Accounts and adjust it before go-live.
- Maria has chosen a Chart of Account template, and now, you show her how to adjust the accounts: add, remove and update.

Define Valid Legal Chart of Accounts

- You have 3 options for defining a *Chart of Accounts*:
 - Select a pre-defined *Chart of Accounts* template.
 - Import the chart of accounts data from a legacy system.
 - Define your own Chart of Accounts.



You have 3 options for defining a Chart of Accounts:

- The first option is selecting a pre-defined Chart of Accounts template.
 - This option could be suitable for a standard company, especially a new company without a legacy chart of accounts.
 - Note that once you have started to work with the company database you cannot choose a different Chart of Accounts template. You can however add, update or remove accounts in the Chart of Accounts.
- The second option is to import the chart of accounts data from your legacy system using the Data Transfer Workbench (DTW) tool.
 - If the company wants to keep their chart of accounts, they can still reorganize the structure before the import.
- Alternatively, you can define your own Chart of Accounts.
 - This option allows you to create your own customized chart of accounts. An organization can use this opportunity to determine what the chart of account structure should look like to accommodate their needs.

Defining the entire chart of accounts is a long, complex procedure.

- You can use one of the existing standard charts of accounts and adapt it to the company's needs.
- Work together with the client accountant to decide on the company's chart of accounts content and structure.
- Although using one of the existing standard chart of accounts could suffice in many situations, organizations can take this opportunity to determine what the chart of account structure should look like to accommodate their needs.
- Note that the practice of choosing a pre-defined Chart of Accounts template will be done in the implementation and support training.

Manage the Chart of Accounts – Tasks 1

Financials → Chart of Accounts window:

- Add a **new G/L account** to an existing title
- View information about existing accounts
- Update different properties of existing accounts

Edit Chart of Accounts window:

- Add a **new title**
- Delete an account
- Change the structure of the chart of accounts and move titles and accounts

* You can also add a new account

There are two windows for maintaining the chart of accounts: the *Chart of Accounts* window and the *Edit Chart of Accounts* window. We can perform different tasks in each. These are the recommended tasks to perform in the *Chart of Accounts* window:

- Add a new G/L account to an existing title. For example add new loan account to the bank loans title.
- View information about existing accounts.
- And update different properties of existing accounts using the Accounts Details button.

Not the different colors of accounts. These colors represent different type of object in the chart of accounts:

- Titles appear in blue.
- Normal active accounts in black
- Accounts that were entered in the G/L Account Determination window (that is default accounts) are displayed in green.

Manage the Chart of Accounts – Tasks 2

Financials → **Chart of Accounts** window:

- Add a **new G/L account** to an existing title
- View information about existing accounts
- Update different properties of existing accounts

Edit Chart of Accounts window:

- Add a **new title**
- Delete an account
- Change the structure of the chart of accounts and move titles and accounts

* You can also add a new account

Enter the *Edit Chart of Accounts* from the *Financials* module and then we choose a drawer. For example, *Liabilities*.

These are the recommended tasks to perform in the *Edit Chart of Accounts* window:

- Add a new title
- Delete an account.
- Change the structure of the chart of accounts and move titles and accounts.
- Add an account using the *Add Sub-Level Account* button.

Note: it is a good practice to have all your active accounts at the same level. For example, level 5.

Summary



Here are some key points:

You have 3 options for defining a Chart of Accounts:

- Select a pre-defined Chart of Accounts template.
- Import the chart of accounts data from a legacy system.
- Define your own Chart of Accounts.

We have two windows for maintaining the chart of accounts:

- The *Chart of Accounts* window
- And the *Edit Chart of Accounts* window.
- In each of them we can perform different tasks.

Here are some key points to take away:

You have 3 options for defining a chart of accounts. You can select a pre-defined chart of accounts template. You can import the chart of accounts data from a legacy system. Or you can define your own chart of accounts.

We have two windows for maintaining the chart of accounts: the Chart of Accounts window and the Edit Chart of Accounts window. In each of them we can perform different tasks.

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